



Global AI Trend Tracker

Global Markets Research

13 August 2026

EQUITY: TECHNOLOGY

Read-through on Coherent results

Quick Note

Coherent (COHR US, Not rated) reported its June quarter results on 13 August after US market close. Management discussed development progress of its 6-inch indium phosphide (InP) capacity expansion, demand outlook for optical transceivers, near packaged optics (NPO) / co-packaged optics (CPO), optical circuit switching (OCS) and multi-rail in 2026-27E. For optical transceivers, Coherent's management noted continued strong demand for both 800G and 1.6T transceivers, similar to what Lumentum (LITE US, Not rated) mentioned at its earnings call on 12 August. We believe this again validates the unchanged upcycle of optical transceivers. We like Innolight (300308 CH, Buy) for its positioning as a leading global optical transceiver supplier, with strong ability to secure upstream components, in our view. Coherent management also noted that the commercialization of CPO and OCS would accelerate from 2027E, and we think it should benefit TFC's (300394 CH, Buy) optical engine and optical components business.

Coherent performance and guidance

- FY26 revenue increased 28% y-y to a record USD7bn, while 4QFY26 revenue increased 14% q-q and 42% y-y, driven by customer demand and rapid expansion of production capacity.
- Data center and communications segment revenue increased 40% y-y in FY26, while increasing 19% q-q and 59% y-y in 4QFY26.
- Data center business revenue increased 41% y-y in FY26, and the growth rate accelerated in 4QFY26, with revenue increasing 24% q-q and 66% y-y, driven by 800G/1.6T transceivers and OCS.
- Communications revenue increased ~54%y-y in FY26, and 4Q revenue increased 11% q-q, 56% y-y, driven by continued strength across data center interconnects, scale across, and traditional telecom applications.
- For 1QFY27E, it guides for revenue of USD2.2-2.4bn, and non-GAAP gross margin of 39.5%-41.5%.
- Management expects to first time achieving over USD3bn of quarterly revenue by the end of FY27E.
- Management expects multiple new revenue streams to ramp over the coming quarters, including optical circuit switching (OCS), co-packaged optics (CPO), multi-rail systems, and advanced materials for data center thermal and power management.
- Capex is expected to increase sequentially in 1QFY27E, driven by strong customer demand and clear ROI visibility.

Indium phosphide: Production of 6-inch InP ramping up as targeted, with better yield and margin than those of 3-inch

- Production of 6-inch indium phosphide (InP) is ramping up, on track to double its targeted output capacity y-y this quarter, one quarter ahead of its plan, and more than double again by the end of 2027E, according to management. Given the strength of customer demand, management is planning additional capacity beyond 2027.
- Coherent's 6-inch lines in Texas and Sweden are producing EML, CW lasers, and photodiodes with yields that continue to exceed the company's 3-inch lines, with cost structure being the primary benefit (4x output at half the cost of 3-inch wafers). The

Research Analysts

China Technology

Bing Duan - NIHK

bing.duan1@nomura.com

+852 2252 2141

Ethan Zhang - NIHK

ethan.zhang@nomura.com

+852 2252 2157

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company also remains on track to begin 6-inch production in Zurich in 1H27.

- In the June quarter, 80% more InP lasers were produced y-y, which are used in 800G and 1.6T transceivers.
- According to management, InP capacity remains the primary constraint, and the ongoing 6-inch production ramp is crucial for driving transceiver revenue growth and improving gross margins.

NPO/CPO: CPO revenue expected to rise from the December quarter

- According to management, CPO demand has increased and customers are making requests. Customer engagement for both CPO and NPO has significantly increased over the past three to six months.
- Production of ultra-high power CW lasers for CPO applications has started rising in Texas and Sweden, including those covered by the company's NVIDIA (NVDA US, Not rated) partnership, with revenue expected to begin increasing in 2QFY27E (December quarter 2026).
- Initial CPO revenue is expected in the December quarter, with scale-up applications anticipated in 2H27E.
- Coherent is confident in CPO laser production, having started production wafers for December quarter shipments and receiving customer requests for more CPO lasers.
- CPO, NPO, and other forms of integrated optics have enabled the transition from copper to optical connectivity, representing more than USD15bn of incremental addressable market opportunity over the coming years, according to management.

Optical transceiver: 800G revenue to continue growing in 2026E while 1.6T revenue should ramp up rapidly from 2H26E

- Management expects 800G revenue to continue growing y-y in 2026E, while that of 1.6T transceivers to rise rapidly through 2H26E and 2027E as adoption broadens across customers.
- Management commented that the report on potential import restrictions for optical transceivers is speculative but would benefit Coherent as the largest US supplier.
- The company currently uses a mix of internally produced and externally sourced components for its datacom transceivers.
- Management expects a greater percentage of transceivers to be serviced with internal indium phosphide over time, given the rapid expansion of internal production.
- The company has no near-term plans to sell indium phosphide lasers externally, as internal data center transceiver demand absorbs all available capacity.

OCS: OCS revenue expects to grow significantly through FY27E

- OCS revenue increased sequentially in 4Q. Given the strong customer demand across 320x320 platform and other system sizes, management expects OCS revenue to grow significantly through FY27E.
- Management continues to estimate that OCS represents more than USD4bn of addressable market opportunity across data center interconnect, scale out, and scale up networks as the company expands production across two manufacturing locations.

Multi-rail: More than USD2bn addressable market by 2030E

- Management estimates a more than USD2bn addressable market for multi-rail by 2030E, and continues to expect initial revenue to ramp up in 1H27E.

Appendix A-1

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Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Zhongji InnoLight	300308 CH	CNY 921.04	13-Aug-2026	Buy	N/A	
Suzhou TFC Optical Communication	300394 CH	CNY 257.16	13-Aug-2026	Buy	N/A	

Zhongji InnoLight (300308 CH)

CNY 921.04 (13-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Zhongji InnoLight



For explanation of ratings refer to the stock rating keys located after chart(s).

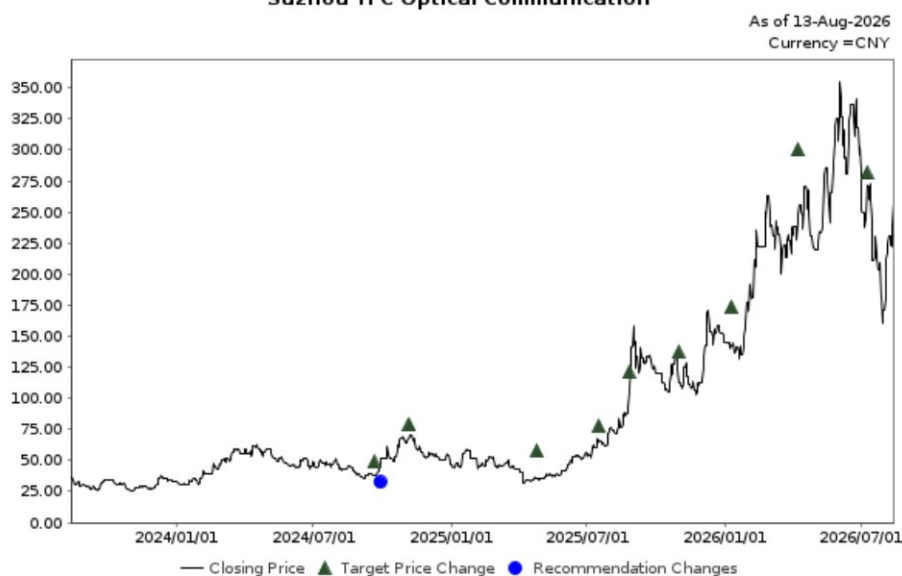
Valuation Methodology Our TP of HKD1,375.00 is based on 21x 2027F EPS of CNY65.47, in line with its A-share historical median P/E. The benchmark index is Hang Seng Index.

Risks that may impede the achievement of the target price Downside risks: 1) weaker-than-expected demand for high-end optical modules in both the datacom and telecom markets; 2) fierce competition in the 400G and 800G optical modules segments; 3) slower-than-expected product upgrades (i.e., 800G, 1.6T); and 4) escalated price war which may affect company's export to global customers.

Suzhou TFC Optical Communication (300394 CH)

CNY 257.16 (13-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Suzhou TFC Optical Communication

Date	Rating	Target price	Closing price
09-Jul-26		282.00	271.50
08-Apr-26		300.51	240.72
09-Jan-26		173.87	142.14
31-Oct-25		137.38	112.86
26-Aug-25		120.92	103.41
17-Jul-25		77.99	66.27
25-Apr-25		58.07	35.84
06-Nov-24		79.66	67.61
20-Sep-24	Buy		37.45
20-Sep-24		48.82	37.45

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY282.00 is based on 50x 2026F EPS of CNY5.63, in line with WIND China A share CPO sector median P/E. The benchmark index is CSI300.

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